

Net SGST Investment Subsidy for Haryana Textile Units

DRAFT FOR REVIEW | SCHEME | D034

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Haryana's textile investment subsidy links assistance to eligible net State GST paid by the unit. It can support the economics of a qualifying investment over time, but it is not a refund of every GST amount shown on sales invoices.

The July 2023 textile notification contains separate treatment for defined textile categories and block locations. The policy and its schemes were extended to 18 December 2026. A unit's qualifying investment date, production date and applicable benefit period must still be established.

Start with tax actually paid

The notified definition works from net SGST paid through the electronic cash ledger after utilisation of available input tax credit, including relevant IGST credit. Sales tax collected, return liability and cash payment can therefore be different amounts.

The calculation must also relate to the eligible unit and products. Where the business has other activities, branches or an expansion within an existing registration, the records must support the amount attributable to the qualifying investment. A consolidated company return is not a substitute for that reconciliation.

The rate is only one part of the benefit

The scheme's category and location matrix determines the share of eligible net SGST, the number of benefit years and the ceiling linked to fixed-capital investment. These limits must be applied together. A higher headline rate does not establish a larger claim if the eligible cash payment or investment ceiling is lower.

For an expansion, keep the pre-existing assets and output distinguishable from the new investment. The notification imposes conditions on expansion and the incremental benefit; the existing unit's entire history should not be treated as new eligible expenditure.

Records that support a claim

Bring the Udyam and GST registrations, location and block evidence, production records, eligible investment schedule, invoices and proof of payment. Tax working papers should connect filed returns, input-credit utilisation, cash-ledger payments and the proposed subsidy period. Bank and accounting records must support the fixed-capital investment used for the ceiling.

Review the notified claim process and relevant accounting period before filing. Departmental verification of the tax basis and eligibility is part of the claim, so preserve the working rather than only the final figure.

Read the [textile net SGST notification](#) and [May 2025 extension](#). This is distinct from the general [HEEP net SGST scheme](#) and [EV net SGST incentive](#). Where more than one policy appears relevant, assess the applicable route and overlap conditions before combining amounts.

Discuss the next step

For help assessing the project and preparing the applicable subsidy work, see [Subsidy & Incentive Advisory](#).

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[Discuss your project](#). An expert consultant from Rapid will call you.

Source links

Links retained from this manuscript. Consult the referenced authority for current requirements; the PDF drafting date does not establish that a source remains current.

1. textile net SGST notification

<https://cdnbbsr.s3waas.gov.in/s3f48c04ffab49ff0e5d1176244fdb65c/uploads/2023/07/2023070674.pdf>

2. May 2025 extension

<https://cdnbbsr.s3waas.gov.in/s3f48c04ffab49ff0e5d1176244fdb65c/uploads/2025/05/202505071229341788.pdf>